

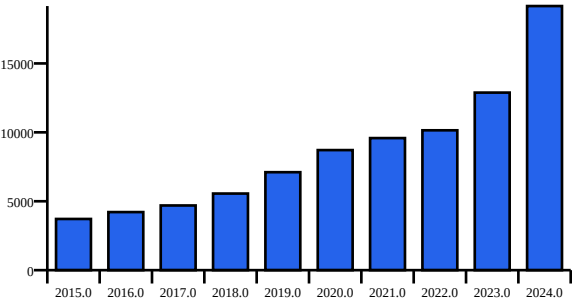
Cholamandalam Investment & Finance Company Ltd

CHOLAFIN | Financials

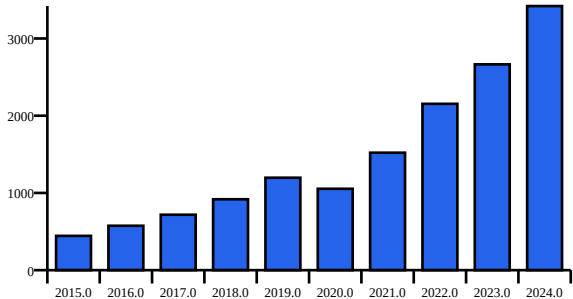
Revenue 19,163	Net Profit 3,420	ROE N/A
ROCE N/A	Debt / Equity N/A	CFO Quality -6.20

10-Year Financial Performance

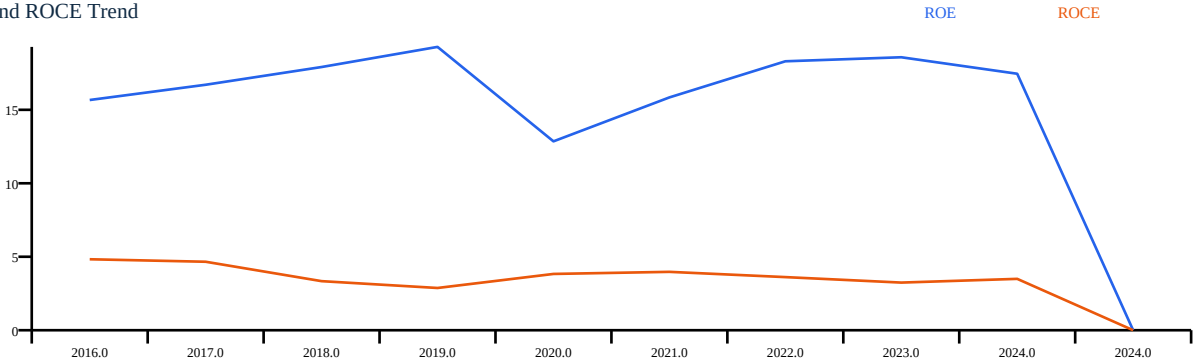
Revenue



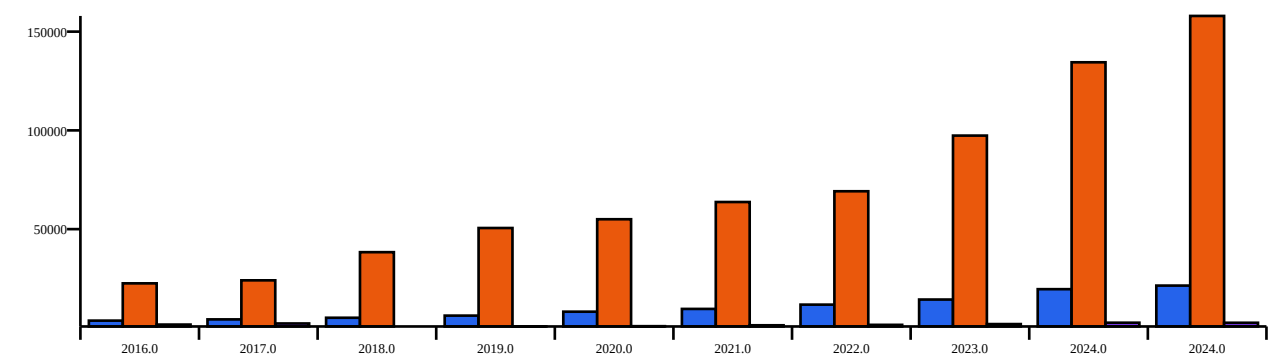
Net Profit



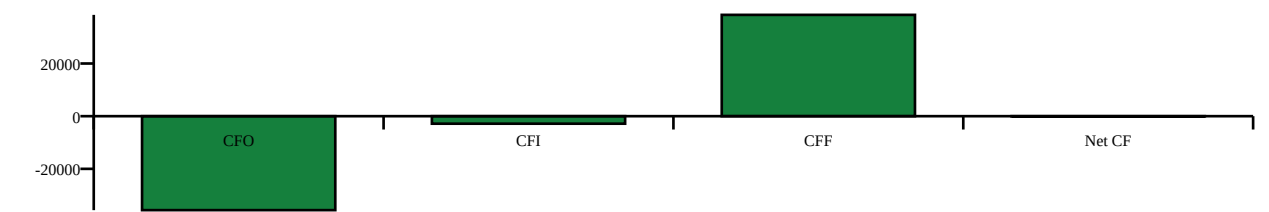
ROE and ROCE Trend



Balance Sheet Composition



Latest Year Cash Flow



Pros

- Very high interest coverage ratio reflects negligible financial stress from debt servicing
- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding
- Revenue growing at above 15% CAGR over 5 years reflects strong business momentum
- Net profit compounding at above 20% over 5 years creates significant shareholder value
- Operating profit margin above 25% indicates strong pricing power and cost discipline

Cons

- Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility
- Free cash flow negative for 3 consecutive years raises concern about cash generation quality
- Operating margins declining for 3 consecutive years suggest pricing or cost pressure
- Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital

Capital Allocation

Growth Funded by Debt